

Theories of International Trade and Investment

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Learning objectives

- Explain **why FDI needs explaining** — the liability of foreignness and the why / where / how questions.
- Distinguish the main **economic theories** of FDI — Hymer's monopolistic advantage, internalization, location theory, Vernon's product life cycle and Dunning's eclectic (OLI) paradigm.
- Contrast them with **behavioral / process theories** — Aharoni's decision-process view and the Uppsala model — and with **resource-based approaches**.
- Apply the **OLI framework** to explain why a real firm expands abroad through foreign direct investment.
- Compare **non-FDI** entry via international collaborative ventures — equity joint ventures versus project-based alliances.
- Interpret global patterns in inward and outward FDI stock.

Opening activity: why build a factory abroad?

IN-CLASS OPENER · 10 MINUTES · THINK-PAIR-SHARE

Objective: surface your own intuitions about foreign expansion — then test them against the theories we cover today.

- 1 Pick a global firm you know — Apple, Toyota, Zara, Intel, Starbucks, Novartis.
- 2 It wants to serve a foreign market. It has three broad choices: **export** to the market, **license** a local partner, or **invest directly** (build/buy its own operation, i.e. FDI).
- 3 Which did your firm choose — and **why**? What did it own, or fear losing, that drove the decision?
- 4 Name one **advantage the firm carries with it** (a brand, patent or know-how) and one **advantage of the location** it chose.
- 5 Keep your example — we will map it onto the theories: **monopolistic advantage** → **internalization** → **the OLI paradigm**.

How firms gain and sustain international competitive advantage

- Since the MNE was traditionally the major player in international business, scholars have offered numerous explanations of what makes these firms pursue — and succeed in — internationalization.
- Because FDI has been MNEs' main strategy in international expansion, theoretical explanations have tended to emphasize it.
- Today's roadmap: first the **economic theories** of FDI (Hymer, internalization, location, Vernon, Dunning), then the **behavioral** and **resource-based** views — and finally **non-FDI** entry through international collaborative ventures.

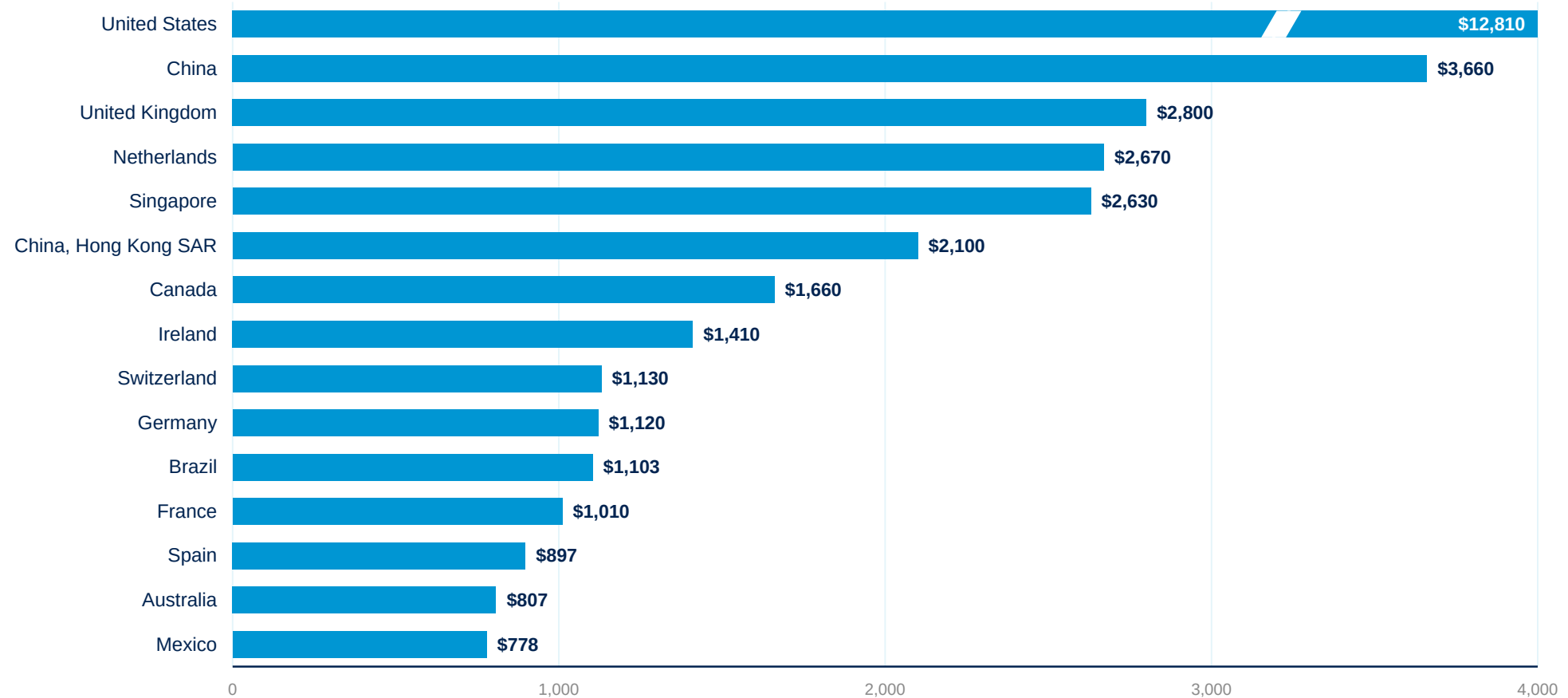
Stages in company internationalization

Firms typically deepen their international commitment gradually, moving from a purely domestic focus toward fully committed involvement abroad.



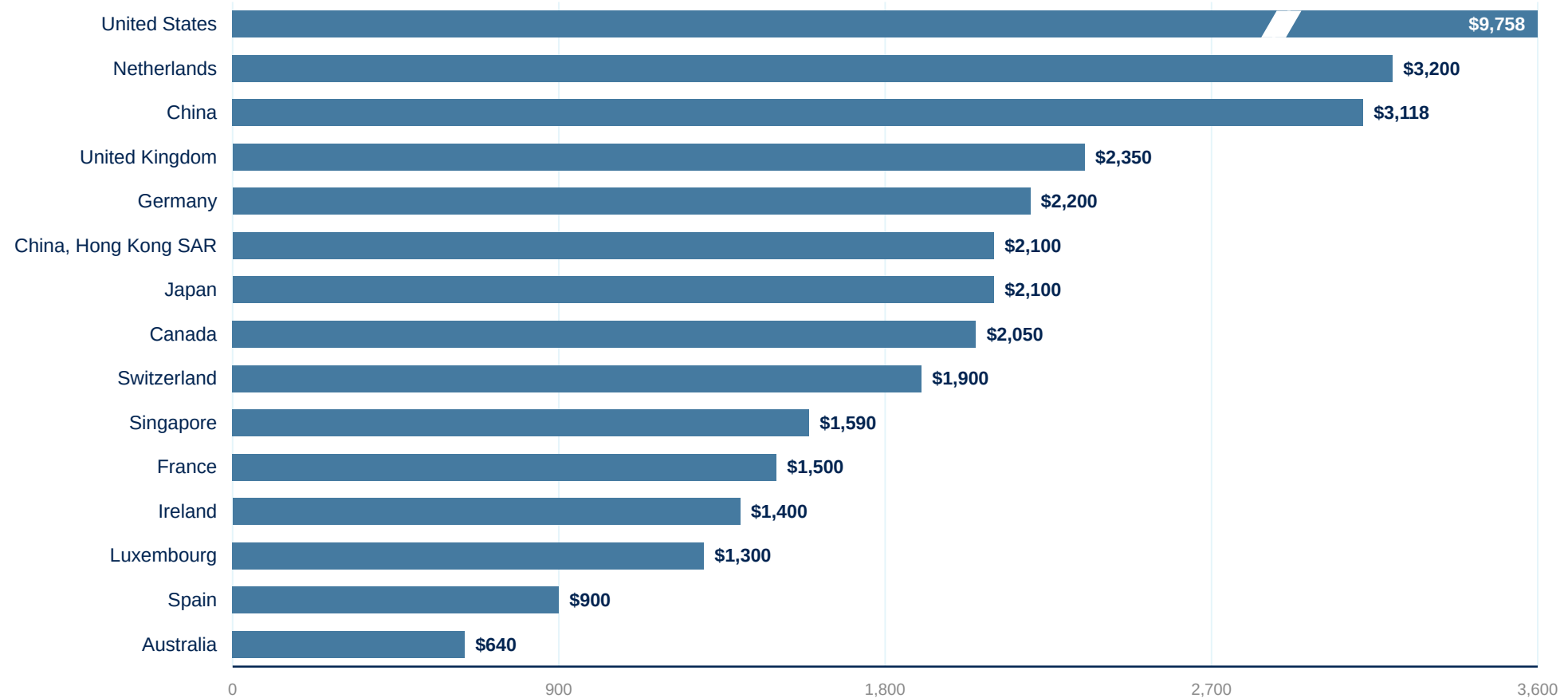
- **Domestic focus** – the firm serves only its home market.
- **Pre-export & experimental** – tentative first steps abroad, often via exporting to nearby or culturally similar markets.
- **Active & committed involvement** – systematic expansion, dedicated resources and, eventually, foreign direct investment.

Stock of inward FDI: leading destinations



Stock of inward FDI, 2023 (US\$ billions). Source: UNCTAD, World Investment Report 2024. US shown on a book-value basis (~\$12.8 tn; ~\$14 tn at market value). World inward FDI stock reached a record ~\$41 trillion in 2023 (IMF). The US bar is broken to fit the scale.

Stock of outward FDI: top sources



Stock of outward FDI, 2024 (US\$ billions). Source: UNCTAD, World Investment Report 2025; US, Netherlands and China figures are firm, mid-table values are approximate. Global FDI flows fell for a second straight year in 2024 ($\approx -11\%$ underlying, excluding conduit flows). The US bar is broken to fit the scale.

Explaining foreign direct investment

- The puzzle (Hymer 1960): foreign entrants face a **liability of foreignness** — the extra costs of doing business abroad that local firms never bear (unfamiliar laws, language, tastes, networks; managing at distance).
- If operating abroad is *more* costly, foreign investors should lose to local rivals — yet MNEs thrive. So FDI needs a positive explanation; it cannot be the default.
- FDI is only one of three ways to serve a foreign market — a theory must explain why firms choose it over **exporting** or **licensing**.
- A complete theory of FDI must answer three questions: **WHY** go abroad (the advantage), **WHERE** to locate (the country), and **HOW** to enter (FDI vs. export vs. licence).
- **Example — Walmart in Germany:** exited in 2006 with a ~US\$1 billion loss after misreading local shopping culture, labour relations and regulation that Aldi and Lidl navigated natively.

Economic and non-economic theories of FDI

Economic theories

Rational choice — profit and efficiency maximization; markets, costs and locations drive FDI

- Hymer (1960/1976): monopolistic advantage
- Buckley & Casson (1976): internalization
- Location theory — the “where” question
- Vernon (1966): product life cycle
- Dunning (1977): eclectic paradigm (OLI)

Answer: **why** FDI exists and **where** it goes

Behavioral / process theories

Bounded rationality — managerial perception and incremental learning under uncertainty

- Aharoni (1966): the FDI decision process
- Johanson & Vahlne (1977, 2009): Uppsala model
- Network approaches (Johanson & Mattsson 1988)

Answer: **how** internationalization unfolds over time

Resource-based theories

The firm as a bundle of unique resources; advantage from capabilities, not industry position

- Penrose (1959): theory of the growth of the firm
- Wernerfelt (1984) · Barney (1991): VRIN
- Dynamic capabilities (Teece et al. 1997)

Answer: **with what** the firm competes abroad

A didactic map, not a wall: Penrose (1959) underpins both the Uppsala model and the resource-based view, and Dunning (2000) recast the eclectic paradigm as an “envelope” absorbing behavioral and resource-based insights. Cf. Surdu, Greve & Benito (2021), Journal of International Business Studies.

Hymer's theory of FDI: monopolistic advantage

- **Stephen Hymer** (MIT dissertation 1960, published 1976) broke with orthodoxy: FDI is **not** portfolio capital chasing higher interest rates — its defining feature is **control** of the foreign operation.
- To offset the costs of doing business abroad, the firm must own **firm-specific (monopolistic) advantages** local rivals lack: superior technology, brands, scale, management know-how, privileged access to finance or distribution.
- These advantages arise from **market imperfections** — under perfect competition there would be no FDI at all.
- FDI lets the firm **exploit its advantage while retaining control** — and, in Hymer's industrial-organization view, reduce international competition. Kindleberger (1969): the advantage must be transferable abroad and outweigh the locals' home-turf edge.
- **Example — Novartis:** exploits the monopoly power of patents through subsidiaries worldwide (FY2024 sales ~US\$50 bn); its 2023 Sandoz spin-off made it a pure-play patented-medicines firm.
- *Limitation: explains why firms **can** invest abroad — not why they prefer FDI over licensing (→ internalization theory) or where they go (→ location theory).*

Internalization theory (Buckley & Casson 1976)

- **Buckley & Casson (1976)**, building on Coase (1937): using markets has **transaction costs** — the MNE exists because it **internalizes markets for intermediate products across borders**.
- The critical failing market is the market for **knowledge**: a buyer cannot value know-how without seeing it, licensees may leak or misuse it, and enforceable contracts are hard to write.
- Decision rule: **internalize until the benefits equal the costs**. When licensing is too risky or costly, the firm performs the activity in-house abroad — that is FDI.
- Explains why R&D-, brand- and knowledge-intensive industries (pharma, tech, luxury) are dominated by MNEs rather than webs of licensing contracts.
- **Example — Intel**: keeps chip design and assembly-and-test (e.g. Chengdu, China) inside the firm to protect its process knowledge. **Contrast — Coca-Cola**: licenses bottling (codifiable, protectable) but never the syrup formula.

Location theory of FDI: the “where” question

- Ownership advantages explain **why**, internalization **how** — location theory answers **where**: activity goes to countries whose immobile, location-specific advantages best complement the firm’s own.
- Key location factors: natural resources · labour costs **and** skills · market size and growth · infrastructure · institutions (rule of law, IP protection, taxes) · trade barriers (**tariff-jumping** FDI) · agglomeration and clusters.
- **Resource-seeking**: secure inputs — oil, minerals, low-cost labour (Dunning’s four FDI motives, 1993).
- **Market-seeking**: access or protect demand; jump trade barriers — Japanese carmakers building US plants in the 1980s (Honda, Marysville 1982).
- **Efficiency-seeking**: rationalize production across borders to exploit factor-cost differences — VW and Audi in Slovakia and Hungary; the logic of global value chains.
- **Strategic-asset-seeking**: acquire technology, brands and talent abroad — Lenovo–IBM PC (2005), Geely–Volvo (2010).

Vernon's product life cycle theory (1966)

Raymond Vernon, "International Investment and International Trade in the Product Cycle", QJE 1966 — the optimal production location shifts as the product matures.

1 · New product

Innovated and produced in the high-income home country — close contact between R&D, production and customers; foreign demand served by **exports**.

2 · Maturing product

Design standardizes and demand grows in other advanced economies; cost competition begins → firm **invests in production abroad** to defend those markets.

3 · Standardized product

Competition is purely on price → production migrates to **low-cost developing countries**; the innovating country becomes a net **importer** of its own invention.

- Classic illustration: televisions — US → Japan and Europe → Korea, Taiwan and China; the US ends up importing.
- *Limitations: US-centric and dated — innovation is now global, product cycles have collapsed (smartphones launch worldwide at once), and born-global firms skip the sequence entirely (Vernon conceded much of this himself in 1979).*

Dunning's eclectic paradigm (OLI)

- **John Dunning** (1976 Nobel Symposium; published 1977, refined 1980/1988/2000) deliberately **synthesizes** the earlier theories: O ← Hymer, L ← location theory, I ← Buckley & Casson. Three conditions determine entry via **FDI**:
- **Ownership-specific advantages.** Knowledge, skills, capabilities, relationships or physical assets that the firm owns and which are the basis of its competitive advantages.
- **Location-specific advantages.** Advantages that exist in the target country — such as natural resources, low-cost labour or skilled labour — similar to comparative advantages.
- **Internalization advantages.** Control derived from internalizing foreign-based manufacturing, distribution or other value-chain activities.
- *Criticism: a “shopping list” of variables with limited predictive power (acknowledged by Dunning himself in 1988) — and static: it says little about process and timing (→ Uppsala model).*

O only
→ License or contract

O + I
→ Export

O + L + I
→ FDI

Example of the eclectic paradigm: Sony in China

- **Ownership-specific advantages:** Sony possesses a huge stock of knowledge and patents in consumer electronics, embodied in products like the PlayStation and Bravia TV.
- **Location-specific advantages:** Sony manufactures in China to take advantage of the country's low-cost, highly knowledgeable labour.
- **Internalization advantages:** Sony wants to maintain control over its knowledge, patents, manufacturing processes and product quality.
- → Thus, Sony entered China via **FDI**.

Behavioral theory of FDI (Aharoni 1966)

- **Yair Aharoni** (1966), *The Foreign Investment Decision Process* — a field study of 38 US firms: FDI decisions are **not** rational profit-maximizing calculus but choices made under uncertainty by managers with **bounded rationality** (Simon; Cyert & March).
- The process needs an **initiating force**: an outside proposal (a foreign government, distributor or client), fear of losing a market, a **bandwagon effect** (following competitors) — or an internal champion.
- **Perceived** — not objective — risk dominates early screening; many profitable projects are never even considered.
- **Commitment accumulates**: the more time and reputation managers invest in investigating a project, the harder it becomes to say no — the process itself generates commitment.
- **Modern illustration**: automotive suppliers entering a market because their OEM customer asked them to — an outside proposal plus fear of losing the customer.
- *Limitation: describes the process but yields few testable predictions — yet it is the direct foundation of the Uppsala model.*

The Uppsala model of internationalization

Johanson & Vahlne (1977, JIBS), building on four Swedish cases (Sandvik, Atlas Copco, Facit, Volvo; Johanson & Wiedersheim-Paul 1975) — internationalization as incremental learning: experiential knowledge → commitment → more knowledge → more commitment.



- **Establishment chain:** firms deepen commitment step by step — and enter **psychically close** markets first (similar language, culture, institutions), then progressively more distant ones.
- **Example — IKEA:** Sweden (1943) → Norway 1963 → Denmark 1969 → Switzerland 1973 → Germany 1974 — only later the culturally distant markets.
- **2009 revision:** markets are networks of relationships — the key barrier is no longer the liability of foreignness but the **liability of outsidership** (not being an insider in the relevant business network).
- *Criticism: many firms leapfrog the stages, and **born-global** firms (Oviatt & McDougall 1994; Knight & Cavusgil 2004) internationalize rapidly from inception.*

Resource-based approaches to internationalization

- **Penrose** (1959): the firm is an administrative organization and a **bundle of productive resources**; growth — including foreign growth — is driven by unused resources and limited by how fast management can absorb expansion.
- **Wernerfelt** (1984) coined the “resource-based view”; **Barney** (1991): sustained advantage comes from resources that are **Valuable, Rare, Inimitable** and **Non-substitutable** (VRIN, later VRIO).
- Applied to FDI: internationalization **exploits** the firm’s unique capabilities abroad — and FDI is chosen when those capabilities are **tacit** and embedded in routines: they transfer well inside the firm but poorly through markets (Kogut & Zander 1993).
- Internationalization also **augments** resources: strategic-asset-seeking FDI acquires new capabilities abroad — connecting the RBV to Dunning’s fourth motive; **dynamic capabilities** (Teece et al. 1997) explain how firms reconfigure resources across borders.
- **Example — Lenovo–IBM PC (2005)**: an emerging-market firm buying the brand, technology and global management capability it lacked.
- *Criticism: risks tautology (valuable resources defined by the success they explain), and VRIN advantages may not travel — some advantages are location-bound.*

Apply it: run an OLI analysis

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: use Dunning's eclectic paradigm to judge whether a firm should enter a foreign market via FDI — and to defend the decision with evidence.

- 1 Take the firm from the opening activity (or choose a new one) and a specific target country.
- 2 **Ownership (O):** what firm-specific advantages does it own — patents, brand, technology, scale — that it can exploit abroad?
- 3 **Location (L):** what does the target country offer — market size, low-cost or skilled labour, resources, proximity to customers?
- 4 **Internalization (I):** is control important enough (to protect quality or know-how) to justify owning the operation rather than licensing?
- 5 Verdict: only if **all three** hold does OLI predict entry by FDI. If one is missing, propose an alternative — exporting, licensing or a collaborative venture — and say why.
- 6 Cross-check with the process theories: would the **Uppsala model** predict this market as an early or late step — and what **initiating force** (Aharoni) might actually trigger the decision?

Non-FDI-based explanations: international collaborative ventures

- A form of cooperation between two or more firms: partners **pool resources and capabilities** to create synergies and share the risk of joint efforts.
- Starting in the 1980s, firms increasingly used collaborative ventures as a way to venture abroad.
- Collaboration provides access to foreign partners' know-how, capital, distribution channels or marketing assets — and helps overcome government-imposed obstacles.
- Unlike the FDI-based theories, collaborative ventures allow firms to internationalize without full ownership of foreign operations.

Two types of international collaborative ventures

- **Equity-based joint ventures** result in the formation of a new legal entity. Unlike wholly owned FDI, the firm collaborates with local partner(s) to reduce risk and the commitment of capital.
- **Project-based alliances** require no equity commitment — only a willingness to cooperate in R&D, manufacturing, design or another value-adding activity.
- Because project-based alliances have a narrowly defined scope and timeline, they give the firm greater flexibility than equity-based ventures.

Case: equity JV vs. project-based alliance

Tata Starbucks

Equity-based joint venture · new legal entity

- **Partners:** Starbucks (USA) & Tata Consumer Products (India) — a 50:50 **equity joint venture**, Tata Starbucks Pvt Ltd, a new legal entity (2012).
- **Each brings:** Starbucks the global brand, store format and coffee know-how; Tata local market access, real estate, coffee sourcing and regulatory navigation.
- **Why:** enter a tea-dominant, tightly regulated high-growth market by sharing risk and capital.
- **Outcome:** ~500 stores across India and its first profitable year (2026); target 1,000 stores by 2028.

BMW × Toyota

Project-based alliance · no equity

- **Partners:** BMW (Germany) & Toyota (Japan) — a **project-based, non-equity alliance**; no new company is formed.
- **Each brings:** Toyota its fuel-cell leadership, BMW its vehicle integration and engineering — pooled for joint R&D.
- **Why:** share the cost and risk of an uncertain technology (hydrogen fuel cells) without a capital-heavy tie-up.
- **Outcome:** deepened in 2024 to co-develop a 3rd-generation fuel-cell system; BMW's first series fuel-cell car is due in 2028.

Discussion: choosing how to collaborate

WHOLE-CLASS DISCUSSION • 10 MINUTES

- Map each venture onto the theory: which is equity-based and forms a new entity, and which is a non-equity, time-bound alliance?
- For each pair of partners, what firm-specific advantage does each side contribute — and what would each risk losing by going it alone?
- Why might these firms choose a collaborative venture instead of full FDI (a wholly-owned operation)? Use the OLI logic in your answer.
- When does a project-based alliance beat an equity joint venture — and when is the reverse true?
- Recall Afeela (Sony–Honda), a 50:50 EV venture scrapped in 2026 before shipping a car: what does its failure tell us about the risks of collaborative ventures?



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